class. He eagerly started investing on his own as soon as he could legally do so at the age of eighteen. Now twenty years old, Roger had grown his savings from part-time jobs into nearly $10,000 by making smart investment decisions. Roger had read countless stories of how people had literally become rich overnight after investing in Internet stocks. He was skeptical until one of his friends actually did so himself. This news turned Roger into a believer and he became obsessed with finding the right Internet stock and the precise moment to invest.

One weekend he heard a tip on the radio about a forthcoming Internet stock offering for a hot new company. The stock would open at $30 a share so he left directions with his broker to buy three hundred shares as soon as the market opened Monday. Roger's broker followed his directions exactly. There was only one problem; the stock jumped up to $90 a share by the time he filled the order.

Roger had planned on investing $9,000, not $27,000. He was still in shock over how he was going to find the money to cover his purchase when he received the additional bad news that the stock closed the day at $40 a share. In one day, Roger had lost $15,000. This amount might have been small potatoes for a wealthy investor, but Roger was not wealthy. By analyzing the day's events, his actions would ensure that he never would be one!

Often, investors rely too heavily on timing. Roger had not done much investing, and saw this opportunity as a chance to score big. If he got in on the ground floor, he would just ride the wave up and make a lot of money. Unfortunately, Roger's wave came crashing down. Just getting in at the beginning of a stock doesn't assure an investor that the stock will rise. Similarly, jumping into the stock market during a sell-off in the market doesn't mean that the market will bounce back with a vengeance. It might even drop lower! Roger learned